

Agilent Technologies, Inc.
Financial Information Index of Schedules

Financial Statements:	Page
<u>Condensed Consolidated Statement of Operations (Three Months and Years Ended October 31, 2023 and 2022)</u>	1
<u>Condensed Consolidated Balance Sheet as of October 31, 2023 and October 31, 2022</u>	2
<u>Condensed Consolidated Statement of Cash Flows (Years Ended October 31, 2023 and 2022)</u>	3
Supplemental Data:	
<u>Life Sciences and Applied Markets Group (LSAG) Segment Results</u>	4
<u>Diagnostics and Genomics Group (DGG) Segment Results</u>	5
<u>Agilent CrossLab Group (ACG) Segment Results</u>	6
Reconciliations:	
<u>Gross Margin, R&D, SG&A - GAAP to Non-GAAP (Q4'23 vs Q4'22)</u>	7
<u>Gross Margin, R&D, SG&A - GAAP to Non-GAAP (FY23 vs FY22)</u>	8
<u>Non-GAAP Income from Operations and Operating Margin (Q4'23 vs Q4'22)</u>	9
<u>Non-GAAP Income from Operations and Operating Margin (FY23 vs FY22)</u>	10
<u>Net Income & EPS - Trend</u>	11
<u>Core Revenue by Segment (Q4'23 vs Q4'22)</u>	12
<u>Core Revenue by Segment (FY23 vs FY22)</u>	13
<u>Core Revenue by Region (Q4'23 vs Q4'22)</u>	14
<u>Core Revenue by Region (FY23 vs FY22)</u>	15
<u>Core Revenue by Market (Q4'23 vs Q4'22)</u>	16
<u>Core Revenue by Market (FY23 vs FY22)</u>	17
<u>Net Debt to EBITDA Ratio</u>	18

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED STATEMENT OF OPERATIONS
(In millions, except per share amounts)
(Unaudited)
PRELIMINARY

	Three Months Ended October 31,		Years Ended October 31,	
	2023	2022	2023	2022
Net revenue	\$ 1,688	\$ 1,849	\$ 6,833	\$ 6,848
Costs and expenses:				
Cost of products and services	773	837	3,368	3,126
Research and development	114	119	481	467
Selling, general and administrative	393	422	1,634	1,637
Total costs and expenses	1,280	1,378	5,483	5,230
Income from operations	408	471	1,350	1,618
Interest income	17	5	51	9
Interest expense	(22)	(23)	(95)	(84)
Other income (expense), net	17	2	33	(39)
Income before taxes	420	455	1,339	1,504
Provision for (benefit from) income taxes	(55)	87	99	250
Net income	<u>\$ 475</u>	<u>\$ 368</u>	<u>\$ 1,240</u>	<u>\$ 1,254</u>
Net income per share:				
Basic	\$ 1.63	\$ 1.24	\$ 4.22	\$ 4.19
Diluted	\$ 1.62	\$ 1.23	\$ 4.19	\$ 4.18
Weighted average shares used in computing net income per share:				
Basic	292	296	294	299
Diluted	293	298	296	300

The preliminary income statement is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED BALANCE SHEET
(In millions, except par value and share amounts)
(Unaudited)
PRELIMINARY

	<u>October 31,</u> <u>2023</u>	<u>October 31,</u> <u>2022</u>
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 1,590	\$ 1,053
Accounts receivable, net	1,291	1,405
Inventory	1,031	1,038
Other current assets	274	282
Total current assets	<u>4,186</u>	<u>3,778</u>
Property, plant and equipment, net	1,270	1,100
Goodwill	3,960	3,952
Other intangible assets, net	475	821
Long-term investments	164	195
Other assets	708	686
Total assets	<u>\$ 10,763</u>	<u>\$ 10,532</u>
LIABILITIES AND EQUITY		
Current liabilities:		
Accounts payable	\$ 418	\$ 580
Employee compensation and benefits	371	455
Deferred revenue	505	461
Short-term debt	—	36
Other accrued liabilities	309	329
Total current liabilities	<u>1,603</u>	<u>1,861</u>
Long-term debt	2,735	2,733
Retirement and post-retirement benefits	103	97
Other long-term liabilities	477	536
Total liabilities	<u>4,918</u>	<u>5,227</u>
Total Equity:		
Stockholders' equity:		
Preferred stock; \$0.01 par value; 125,000,000		
shares authorized; none issued and outstanding at October 31, 2023 and October 31, 2022	—	—
Common stock; \$0.01 par value, 2,000,000,000		
shares authorized; 292,123,241 shares at October 31, 2023		
and 295,259,092 shares at October 31, 2022, issued and outstanding	3	3
Additional paid-in-capital	5,387	5,325
Retained earnings	782	324
Accumulated other comprehensive loss	(327)	(347)
Total stockholders' equity	<u>5,845</u>	<u>5,305</u>
Total liabilities and stockholders' equity	<u>\$ 10,763</u>	<u>\$ 10,532</u>

The preliminary balance sheet is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
(In millions)
(Unaudited)
PRELIMINARY

	Years Ended	
	October 31, 2023	October 31, 2022
Cash flows from operating activities:		
Net income	\$ 1,240	\$ 1,254
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	271	317
Share-based compensation	111	125
Deferred taxes	(56)	8
Excess and obsolete inventory related charges	40	24
Net loss on equity securities	41	67
Asset impairment charges	277	—
Change in fair value of contingent consideration	1	(25)
Loss on extinguishment of debt	—	9
Net gain on divestiture of business	(43)	—
Other non-cash expense, net	6	11
Changes in assets and liabilities:		
Accounts receivable, net	132	(321)
Inventory	(33)	(248)
Accounts payable	(171)	121
Employee compensation and benefits	(91)	(22)
Other assets and liabilities	47	(8)
Net cash provided by operating activities ^(a)	<u>1,772</u>	<u>1,312</u>
Cash flows from investing activities:		
Payments to acquire property, plant and equipment	(298)	(291)
Proceeds from sale of equity securities	5	22
Payments to acquire equity securities	(8)	(13)
Proceeds from convertible note	4	—
Payments in exchange for convertible note	(12)	(4)
Proceeds from divestiture of business	50	—
Payments to acquire businesses and intangible assets, net of cash acquired	(51)	(52)
Net cash used in investing activities	<u>(310)</u>	<u>(338)</u>
Cash flows from financing activities:		
Proceeds from issuance of common stock under employee stock plans	67	58
Payment of taxes related to net share settlement of equity awards	(54)	(67)
Payments for repurchase of common stock	(575)	(1,139)
Payments of dividends	(265)	(250)
Proceeds from issuance of long-term debt	—	600
Repayments of long-term debt	—	(609)
Net proceeds from (repayment of) short-term debt	(35)	35
Payment for contingent consideration	(68)	—
Net cash used in financing activities	<u>(930)</u>	<u>(1,372)</u>
Effect of exchange rate movements	5	(36)
Net increase (decrease) in cash, cash equivalents and restricted cash	537	(434)
Cash, cash equivalents and restricted cash at beginning of period	<u>1,056</u>	<u>1,490</u>
Cash, cash equivalents and restricted cash at end of period	<u><u>\$ 1,593</u></u>	<u><u>\$ 1,056</u></u>
Reconciliation of cash, cash equivalents and restricted cash to the condensed consolidated balance sheet:		
Cash and cash equivalents	\$ 1,590	\$ 1,053
Restricted cash, included in other assets	3	3
Total cash, cash equivalents and restricted cash	<u><u>\$ 1,593</u></u>	<u><u>\$ 1,056</u></u>

^(a) Cash payments included in operating activities:

Income tax paid, net of refunds received	\$ 199	\$ 279
Interest payments, net of capitalized interest	\$ 89	\$ 85

The preliminary cash flow is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
LIFE SCIENCES AND APPLIED MARKETS SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2023				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 1,033	\$ 968	\$ 927	\$ 928	\$ 3,856
Gross margin %	61.2%	59.9%	60.0%	59.6%	60.2%
Income from operations	\$ 314	\$ 264	\$ 277	\$ 261	\$ 1,116
Operating margin %	30.4%	27.3%	29.9%	28.1%	28.9%

	2022				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 976	\$ 896	\$ 1,019	\$ 1,116	\$ 4,007
Gross margin %	60.5%	59.0%	60.5%	60.6%	60.2%
Income from operations	\$ 282	\$ 228	\$ 311	\$ 365	\$ 1,186
Operating margin %	28.9%	25.5%	30.5%	32.7%	29.6%

Income from operations reflect the results of our reportable segments under Agilent's management reporting system which are not necessarily in conformity with GAAP financial measures. Income from operations of our reporting segments exclude, among other things, charges related to restructuring and other related costs, asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, special compliance costs and change in fair value of contingent consideration.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
DIAGNOSTICS AND GENOMICS SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2023				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 342	\$ 362	\$ 349	\$ 356	\$ 1,409
Gross margin %	51.2%	51.8%	52.2%	51.9%	51.8%
Income from operations	\$ 59	\$ 73	\$ 84	\$ 80	\$ 296
Operating margin %	17.2%	20.2%	24.0%	22.5%	21.0%

	2022				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 339	\$ 358	\$ 340	\$ 352	\$ 1,389
Gross margin %	52.8%	56.0%	54.0%	51.0%	53.5%
Income from operations	\$ 68	\$ 91	\$ 73	\$ 69	\$ 301
Operating margin %	20.1%	25.5%	21.5%	19.5%	21.7%

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The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
AGILENT CROSSLAB SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2023				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 381	\$ 387	\$ 396	\$ 404	\$ 1,568
Gross margin %	48.5%	47.0%	50.9%	50.4%	49.3%
Income from operations	\$ 103	\$ 103	\$ 129	\$ 128	\$ 463
Operating margin %	27.0%	26.6%	32.7%	31.7%	29.5%

	2022				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 359	\$ 353	\$ 359	\$ 381	\$ 1,452
Gross margin %	47.5%	47.1%	47.0%	48.6%	47.6%
Income from operations	\$ 91	\$ 87	\$ 88	\$ 104	\$ 370
Operating margin %	25.2%	24.6%	24.6%	27.4%	25.5%

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The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP AND GAAP FINANCIAL RESULTS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

GROSS MARGIN	Q4'23	Gross Margin %	Q4'22	Gross Margin %
Revenue:	\$ 1,688		\$ 1,849	
Gross margin:				
Cost of products and services	\$ 773	54.2%	\$ 837	54.7%
Add:				
Restructuring and other related costs	\$ (11)		—	
Intangible amortization	(17)		(26)	
Transformational initiatives	(1)		—	
Acquisition and integration costs	—		(1)	
Business exit and divestiture costs	—		(1)	
Other	2		—	
Non-GAAP cost of products and services	\$ 746	55.8%	\$ 809	56.3%

RESEARCH & DEVELOPMENT EXPENSES	Q4'23	R&D as % of Revenue	Q4'22	R&D as % of Revenue
Revenue:	\$ 1,688		\$ 1,849	
Research and development expenses	\$ 114	6.8%	\$ 119	6.4%
Add:				
Restructuring and other related costs	\$ (6)		—	
Transformational initiatives	6		(1)	
Acquisition and integration costs	—		(1)	
Other	2		1	
Non-GAAP research and development expenses	\$ 116	6.9%	\$ 118	6.4%

SELLING, GENERAL & ADMINISTRATIVE EXPENSES	Q4'23	SG&A as % of Revenue	Q4'22	SG&A as % of Revenue
Revenue:	\$ 1,688		\$ 1,849	
Selling, general and administrative expenses	\$ 393	23.3%	\$ 422	22.8%
Add:				
Restructuring and other related costs	\$ (29)		—	
Intangible amortization	(10)		(16)	
Transformational initiatives	1		(8)	
Acquisition and integration costs	(4)		(4)	
Business exit and divestiture costs	—		1	
Other	6		(11)	
Non-GAAP selling, general & administrative expenses	\$ 357	21.1%	\$ 384	20.8%

We provide non-GAAP gross margin, research & development and selling, general & administrative expense amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to restructuring and other related costs, amortization of intangibles, transformational initiatives, acquisition and integration costs and business exit and divestiture costs.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary reconciliation of gross margin, research & development expenses and selling, general & administrative expenses is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP AND GAAP FINANCIAL RESULTS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

GROSS MARGIN	FY23	Gross Margin %	FY22	Gross Margin %
Revenue:	\$ 6,833		\$ 6,848	
Gross margin:				
Cost of products and services	\$ 3,368	50.7%	\$ 3,126	54.4%
Add:				
Asset impairments	(253)		—	
Restructuring and other related costs	(11)		—	
Intangible amortization	(90)		(111)	
Transformational initiatives	(3)		(6)	
Acquisition and integration costs	(2)		(3)	
Business exit and divestiture costs	—		(2)	
Other	(1)		—	
Non-GAAP cost of products and services	\$ 3,008	56.0%	\$ 3,004	56.1%

RESEARCH & DEVELOPMENT EXPENSES	FY23	R&D as % of Revenue	FY22	R&D as % of Revenue
Revenue:	\$ 6,833		\$ 6,848	
Research and development expenses	\$ 481	7.0%	\$ 467	6.8%
Add:				
Asset impairments	(1)		—	
Restructuring and other related costs	(6)		—	
Transformational initiatives	(1)		(1)	
Acquisition and integration costs	(1)		(3)	
Non-GAAP research and development expenses	\$ 472	6.9%	\$ 463	6.8%

SELLING, GENERAL & ADMINISTRATIVE EXPENSES	FY23	SG&A as % of Revenue	FY22	SG&A as % of Revenue
Revenue:	\$ 6,833		\$ 6,848	
Selling, general and administrative expenses	\$ 1,634	23.9%	\$ 1,637	23.9%
Add:				
Asset impairments	(23)		—	
Restructuring and other related costs	(29)		—	
Intangible amortization	(49)		(80)	
Transformational initiatives	(21)		(23)	
Acquisition and integration costs	(13)		(19)	
Special compliance costs	(9)		—	
Change in fair value of contingent consideration	(1)		25	
Business exit and divestiture costs	—		(5)	
Other	(11)		(11)	
Non-GAAP selling, general & administrative expenses	\$ 1,478	21.6%	\$ 1,524	22.3%

We provide non-GAAP gross margin, research & development and selling, general & administrative expense amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, restructuring and other related costs, amortization of intangibles, transformational initiatives, acquisition and integration costs, special compliance costs, change in fair value of contingent consideration and business exit and divestiture costs.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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The preliminary reconciliation of gross margin, research & development expenses and selling, general & administrative expenses is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

	Q4'23	Operating Margin %	Q4'22	Operating Margin %	Year Over Year Percent Pts Inc/(Dec)
Revenue:	\$ 1,688		\$ 1,849		
Income from operations:					
GAAP Income from operations	\$ 408	24.1%	\$ 471	25.5%	
Add:					
Restructuring and other related costs	46		—		
Intangible amortization	27		42		
Transformational initiatives	(6)		9		
Acquisition and integration costs	4		6		
Other	(10)		10		
Non-GAAP income from operations	<u>\$ 469</u>	27.8%	<u>\$ 538</u>	29.1%	-1.3%

We provide non-GAAP income from operations and non-GAAP operating margin amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to restructuring and other related costs, amortization of intangibles, transformational initiatives and acquisition and integration costs.

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The preliminary reconciliation of income from operations and operating margins is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

	FY23	Operating Margin %	FY22	Operating Margin %	Year Over Year Percent Pts Inc/(Dec)
Revenue:	\$ 6,833		\$ 6,848		
Income from operations:					
GAAP Income from operations	\$ 1,350	19.8%	\$ 1,618	23.6%	
Add:					
Asset impairments	277		—		
Restructuring and other related costs	46		—		
Intangible amortization	139		191		
Transformational initiatives	25		30		
Acquisition and integration costs	16		25		
Special compliance costs	9		—		
Change in fair value of contingent consideration	1		(25)		
Business exit and divestiture costs	—		7		
Other	12		11		
Non-GAAP income from operations	<u>\$ 1,875</u>	27.4%	<u>\$ 1,857</u>	27.1%	0.3%

We provide non-GAAP income from operations and non-GAAP operating margin amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, restructuring and other related costs, amortization of intangibles, transformational initiatives, acquisition and integration costs, special compliance costs, change in fair value of contingent consideration and business exit and divestiture costs.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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The preliminary reconciliation of income from operations and operating margins is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
NON-GAAP NET INCOME AND DILUTED EPS RECONCILIATIONS
(In millions, except per share amounts)
(Unaudited)
PRELIMINARY

	Q4'22		Q1'23		Q2'23		Q3'23		Q4'23		Year Ended October 31, 2022		Year Ended October 31, 2023	
	Net Income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS
GAAP net income	\$ 368	\$ 1.23	\$ 352	\$ 1.19	\$ 302	\$ 1.02	\$ 111	\$ 0.38	\$ 475	\$ 1.62	\$ 1,254	\$ 4.18	\$ 1,240	\$ 4.19
Non-GAAP adjustments:														
Asset impairments	—	—	—	—	—	—	277	0.94	—	—	—	—	277	0.94
Restructuring and other related costs	—	—	—	—	—	—	—	—	46	0.16	—	—	46	0.16
Intangible amortization	42	0.14	36	0.12	38	0.12	38	0.13	27	0.09	191	0.64	139	0.47
Transformational initiatives	9	0.03	7	0.02	5	0.02	19	0.06	(6)	(0.02)	30	0.10	25	0.08
Acquisition and integration costs	6	0.02	2	0.01	5	0.02	5	0.02	4	0.01	25	0.08	16	0.05
Special compliance costs	—	—	—	—	5	0.02	4	0.01	—	—	—	—	9	0.03
Change in fair value of contingent consideration	—	—	1	—	—	—	—	—	—	—	(25)	(0.08)	1	—
Business exit and divestiture costs (gain)	—	—	—	—	—	—	—	—	(43)	(0.15)	7	0.02	(43)	(0.15)
Loss on extinguishment of debt	—	—	—	—	—	—	—	—	—	—	9	0.03	—	—
Pension settlement loss	4	0.01	—	—	—	—	—	—	4	0.01	4	0.01	4	0.01
Net loss (gain) on equity securities	5	0.02	12	0.04	4	0.01	(1)	—	27	0.09	63	0.21	42	0.14
Other	10	0.03	3	0.01	3	0.01	16	0.06	(11)	(0.03)	12	0.04	11	0.04
Adjustment for taxes ^(a)	12	0.05	(7)	(0.02)	15	0.05	(47)	(0.17)	(119)	(0.40)	(5)	(0.01)	(158)	(0.52)
Non-GAAP net income	<u>\$ 456</u>	<u>\$ 1.53</u>	<u>\$ 406</u>	<u>\$ 1.37</u>	<u>\$ 377</u>	<u>\$ 1.27</u>	<u>\$ 422</u>	<u>\$ 1.43</u>	<u>\$ 404</u>	<u>\$ 1.39</u>	<u>\$ 1,565</u>	<u>\$ 5.22</u>	<u>\$ 1,609</u>	<u>\$ 5.44</u>

^(a) The adjustment for taxes excludes tax expense (benefits) that management believes are not directly related to on-going operations and which are either isolated, temporary or cannot be expected to occur again with any regularity or predictability such as the realized gain/loss due to sale of a business, windfall benefits on stock compensation, and the impact of R&D capitalization under section 174 of the Tax Cuts and Jobs Act of 2017. For the three months ended October 31, 2022, management used a non-GAAP effective tax rate of 14.12%. For the three months ended January 31, 2023, April 31, 2023, July 31, 2023 and October 31, 2023, management used a non-GAAP effective tax rate of 13.75%. For the fiscal year ended October 31, 2022, management used a non-GAAP effective tax rate of 14.00%. For the fiscal year ended October 31, 2023, management used a non-GAAP effective tax rate of 13.75%.

We provide non-GAAP net income and non-GAAP net income per share amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, restructuring and other related costs, amortization of intangibles, transformational initiatives, acquisition and integration costs, special compliance costs, change in fair value of contingent consideration, business exit and divestiture costs, loss on extinguishment of debt, pension settlement loss and net loss (gain) on equity securities.

Asset impairments include assets that have been written down to their fair value.

Restructuring and other related costs include incremental expenses incurred in the period associated with restructuring programs, usually aimed at changes in business and/or cost structure. Such costs may include one-time termination benefits, facility-related costs and contract termination fees.

Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers including costs to move manufacturing, site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, tax, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

Special compliance costs include costs associated with transforming our processes to implement new regulations such as environmental compliance costs related to a prior acquisition, NASD site costs and certain tax reporting requirements.

Change in fair value of contingent consideration represents changes in the fair value estimate of acquisition-related contingent consideration.

Business exit and divestiture costs (gain) include costs and gain associated with business divestitures.

Loss on extinguishment of debt relates to the net loss recorded on the redemption of the \$600 million outstanding 3.875% 2023 senior notes due on July 15, 2023, called on April 4, 2022 and settled on May 4, 2022.

Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Net loss (gain) on equity securities relates to the realized and unrealized mark-to-market adjustments for our marketable and non-marketable equity securities.

Other includes acceleration of share-based compensation expense and certain legal costs and settlements in addition to other miscellaneous adjustments.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results "through the eyes" of management in addition to seeing our GAAP results. This information facilitates our management's internal comparisons to our historical operating results as well as to the operating results of our competitors.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary non-GAAP net income and diluted EPS reconciliation is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY SEGMENT
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year								
<u>GAAP Revenue by Segment</u>	GAAP								
	Q4'23	Q4'22	Year-over-Year % Change						
Life Sciences and Applied Markets Group	\$ 928	\$ 1,116	(17%)						
Diagnostics and Genomics Group	356	352	1%						
Agilent CrossLab Group	404	381	6%						
Agilent	<u>\$ 1,688</u>	<u>\$ 1,849</u>	(9%)						

<u>Non GAAP Revenue by Segment</u>	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year			Year-over-Year at Constant Currency ^(a)					
	Q4'23	Q4'22	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency	Current Quarter Currency Impact ^(b)						
Life Sciences and Applied Markets Group	\$ 928	\$ 1,116	(17%)	(18%)	1 ppt	\$ 9						
Diagnostics and Genomics Group	356	350	2%	—	2 ppts	5						
Agilent CrossLab Group	404	381	6%	4%	2 ppts	6						
Agilent (Core)	<u>\$ 1,688</u>	<u>\$ 1,847</u>	(9%)	(10%)	1 ppt	<u>20</u>						

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY REGION
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year								
<u>GAAP Revenue by Region</u>	GAAP								
	Q4'23	Q4'22	Year-over-Year % Change	Q4'23	Q4'22	Year-over-Year % Change	Q4'23	Q4'22	Year-over-Year % Change
Americas	\$ 702	\$ 715	(2%)						
Europe	433	418	4%						
Asia Pacific	553	716	(23%)						
Total Revenue	<u>\$ 1,688</u>	<u>\$ 1,849</u>	<u>(9%)</u>						
China and Hong Kong	\$ 317	\$ 465	(32%)						

<u>Non GAAP Revenue by Region</u>	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)					
	Q4'23	Q4'22	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency	Current Quarter Currency Impact ^(b)	Q4'23	Q4'22	Year-over-Year % Change
Americas	\$ 702	\$ 713	(2%)	(2%)	—	\$ 2			
Europe	433	418	4%	(2%)	6 pts	25			
Asia Pacific	553	716	(23%)	(22%)	-1 ppt	(7)			
Total Revenue (Core)	<u>\$ 1,688</u>	<u>\$ 1,847</u>	<u>(9%)</u>	<u>(10%)</u>	<u>1 ppt</u>	<u>\$ 20</u>			
China and Hong Kong	\$ 317	\$ 465	(32%)	(31%)	-1 ppt	(4)			

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY REGION
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

		Year-over-Year					
		GAAP					
<u>GAAP Revenue by Region</u>		FY23	FY22	Year-over-Year % Change			
Americas	\$	2,732	\$ 2,682	2%			
Europe		1,754	1,699	3%			
Asia Pacific		2,347	2,467	-5%			
Total Revenue	\$	<u>6,833</u>	<u>\$ 6,848</u>	—			
China and Hong Kong	\$	1,383	\$ 1,498	-8%			

		Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)			
		FY23	FY22	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency	Current Quarter Currency Impact ^(b)	
Americas	\$	2,731	\$ 2,680	2%	2%	—	\$	(2)
Europe		1,748	1,699	3%	4%	-1 ppt		(20)
Asia Pacific		2,347	2,467	-5%	-1%	-4 ppts		(100)
Total Revenue (Core)	\$	<u>6,826</u>	<u>\$ 6,846</u>	—	1%	-1 ppt	\$	<u>(122)</u>
China and Hong Kong	\$	1,383	\$ 1,498	-8%	-5%	-3 ppts	\$	(36)

\$ 6,948

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current year currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY MARKET
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year			
	GAAP			
			Year-over-Year	
<u>GAAP Revenue by Market</u>	Q4'23	Q4'22	% Change	
Pharmaceutical	\$ 590	\$ 681	(13%)	
Academia and government	150	150	—	
Diagnostics and clinical	236	245	(3%)	
Chemicals and advanced materials	381	424	(10%)	
Food	156	171	(9%)	
Environmental and forensics	175	178	(2%)	
Total Revenue	<u>\$ 1,688</u>	<u>\$ 1,849</u>	(9%)	

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	Q4'23	Q4'22	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency	Current Quarter Currency Impact ^(b)
<u>Non GAAP Revenue by Market</u>						
Pharmaceutical	\$ 590	\$ 681	(13%)	(14%)	1 ppt	\$ 7
Academia and government	150	150	—	(1%)	1 ppt	2
Diagnostics and clinical	236	244	(3%)	(4%)	1 ppt	4
Chemicals and advanced materials	381	424	(10%)	(11%)	1 ppt	4
Food	156	171	(9%)	(10%)	1 ppt	1
Environmental and forensics	175	177	(2%)	(3%)	1 ppt	2
Total Revenue (Core)	<u>\$ 1,688</u>	<u>\$ 1,847</u>	(9%)	(10%)	1 ppt	<u>\$ 20</u>

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY MARKET
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
	Year-over-Year		
<u>GAAP Revenue by Market</u>	FY23	FY22	% Change
Pharmaceutical	\$ 2,433	\$ 2,515	(3%)
Academia and government	601	576	4%
Diagnostics and clinical	966	963	—
Chemicals and advanced materials	1,543	1,521	1%
Food	628	617	2%
Environmental and forensics	662	656	1%
Total Revenue	<u>\$ 6,833</u>	<u>\$ 6,848</u>	—

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	Year-over-Year			Year-over-Year	Percentage Point	Current Quarter
<u>Non GAAP Revenue by Market</u>	FY23	FY22	% Change	% Change	Impact from Currency	Currency Impact ^(b)
Pharmaceutical	\$ 2,432	\$ 2,515	(3%)	(2%)	-1 ppt	\$ (38)
Academia and government	599	576	4%	6%	-2 ppts	(8)
Diagnostics and clinical	966	962	—	2%	-2 ppts	(16)
Chemicals and advanced materials	1,539	1,521	1%	3%	-2 ppts	(33)
Food	628	617	2%	4%	-2 ppts	(14)
Environmental and forensics	662	655	1%	3%	-2 ppts	(13)
Total Revenue (Core)	<u>\$ 6,826</u>	<u>\$ 6,846</u>	—	1%	-1 ppt	<u>\$ (122)</u>

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current year currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
NET DEBT TO ADJUSTED EBITDA CALCULATION
(in millions, except ratio data)
(Unaudited)
PRELIMINARY

	As of October 31, 2023
Long-term debt	\$ 2,735
Short-term debt	-
Cash & cash equivalents	(1,590)
Net debt	\$ 1,145

	Q1'23	Q2'23	Q3'23	Q4'23	Trailing 12- Month
GAAP net income	\$ 352	\$ 302	\$ 111	\$ 475	\$ 1,240
Asset impairments	—	—	\$ 277	—	277
Restructuring and other related costs	—	—	—	46	46
Intangible amortization	36	38	38	27	139
Transformational initiatives	7	5	19	(6)	25
Acquisition and integration costs	2	5	5	4	16
Special compliance costs	—	5	4	—	9
Change in fair value of contingent consideration	1	—	—	—	1
Business exit and divestiture costs	—	—	—	(43)	(43)
Pension settlement loss	—	—	—	4	4
Net loss (gain) on equity securities	12	4	(1)	27	42
Other	3	3	16	(11)	11
Adjustment for taxes	(7)	15	(47)	(119)	(158)
Non-GAAP net income	\$ 406	\$ 377	\$ 422	\$ 404	\$ 1,609
Add:					
(1) Net interest expense	\$ 16	\$ 12	\$ 11	\$ 5	\$ 44
GAAP provision for income taxes	58	75	21	(55)	99
Adjustment for taxes	7	(15)	47	119	158
(2) Non-GAAP provision for income taxes	\$ 65	\$ 60	\$ 68	\$ 64	\$ 257
(3) Depreciation expense	\$ 31	\$ 33	\$ 33	\$ 35	\$ 132
Adjusted EBITDA					\$ 2,042
Net debt to adjusted EBITDA ratio					0.6

The preliminary net debt to adjusted EBITDA ratio is estimated based on our current information.